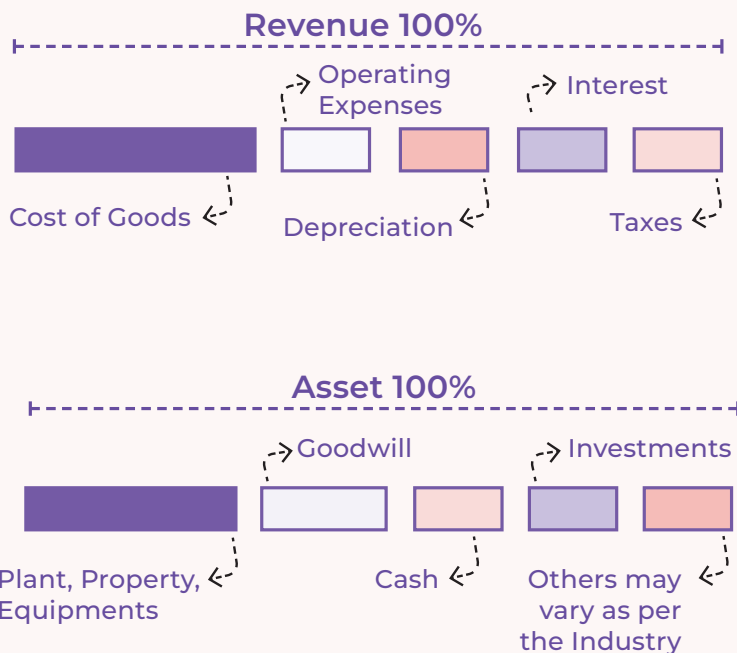


7.3 Common Sizing

How has the composition of income and balance sheet statements changed over time? Ratios combined with the knowledge of common sizing will provide a very thorough understanding of the financial performance of the company.



A common-size statement is an income statement, where each line item is expressed as a percentage of revenue or sales. It explains how the composition of income statements is changing.

Every year, revenue is assumed to be 100%, where every line item is expressed as a percentage of revenue.